

DECODED EXPLAINED

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Japan Agency upgrades India's rating to A-,

Japan agency upgrades India's rating to 'A-'; FinMin says reflects solid growth

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NOTING STEADY implementation of policies for productivity growth and economic development and India's maintenance of 7% growth, the Japan Credit Rating Agency (JCRA) upgraded India's sovereign rating from 'BBB+' to 'A-' with stable outlook on Wednesday.

Welcoming the decision by JCRA, the Ministry of Finance in a statement said the upgrade reflects India's "solid economic growth, effectiveness of economic policies in strengthening the foundations for growth, and the improved soundness of the financial system".

While upgrading the rating, the JCRA noted certain struc-

tural challenges for India on the fiscal front: complex intergovernmental fiscal relations; fiscal transfer arrangements and fiscal management that is susceptible to electoral cycles.

Pointing out that the Indian economy has maintained a high growth rate of around 7%, the JCRA said the country's growth is supported by robust private consumption and public investment.

The growth momentum was sustained in Q1 of FY27, with real GDP growing by 7.8%, despite prevailing global headwinds, the Ministry said.

"Considering India's solid economic growth, the effectiveness of economic policies that strengthen the foundations for growth, and the im-

proved soundness of the financial system, JCR has upgraded the Republic of India's Foreign Currency and Local Currency Long-term Issuer Ratings by one notch to 'A-'. JCR has also raised the country ceiling by one notch to 'A'," the JCRA said. Fifteenth Finance Commission Chairman NK Singh said the 'A' rating is back after a gap of over 35 years.

"JCRA has upgraded India to 'A-'. Recognition of India's growth momentum, macro stability, deep structural reforms, and the strength of Centre-State partnership. The last 'A' was Moody's A2 rating given in 1988, which India lost in the 1990-91 BoP crisis," he said.

FULL REPORT ON

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- 1. Credit Rating Agencies (CRAs) are organizations that assess and rate the ability of companies, banks, or governments to repay their borrowed money. They give ratings that show how safe or risky it is to lend money to a particular borrower.**
- 2. These ratings are forward-looking, which means they try to predict the future ability of the borrower to repay its debts. A higher rating means lower risk (safer investment), while a lower rating indicates higher risk.**
- 3. In India, Credit Rating Agencies are mainly regulated by the Securities and Exchange Board of India (SEBI) under the SEBI (Credit Rating Agencies) Regulations, 1999 of the SEBI Act, 1992. These rules ensure that CRAs work in a fair, transparent, and responsible manner.**

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<u>S&P</u>	<u>Moody's</u>	<u>Fitch</u>	<u>Score</u>
<i><u>Investment grade</u></i>			
AAA	Aaa	AAA	1
AA+	Aa1	AA+	2
AA	Aa2	AA	3
AA-	Aa3	AA-	4
A+	A1	A+	5
A	A2	A	6
A-	A3	A-	7
BBB+	Baa1	BBB+	8
BBB	Baa2	BBB	9
BBB-	Baa3	BBB-	10

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- **CRISIL Limited (1987)**: India's first and one of the largest rating agencies. It is supported by S&P Global and provides ratings, research, and risk advisory services.
- **ICRA Limited (1991)**: Backed by Moody's, it focuses on rating companies, debt instruments, and structured finance products.
- **CARE Ratings Limited (1993)**: An independent agency known for rating corporates, infrastructure projects, and small and medium enterprises (SMEs).
- **India Ratings & Research (1999)**: Part of the Fitch Group, it provides ratings for corporates, financial institutions, and government-related entities.
- **Acuité Ratings & Research Limited (formerly SMERA)**: Specializes in rating MSMEs and helps small businesses get easier access to loans.
- **Brickwork Ratings India Pvt. Ltd. (2007)**: Focuses on rating bank loans, SMEs, and municipal bonds.
- **Infomerics Valuation and Rating Pvt. Ltd.**: Provides credit ratings and risk analysis across different industries.
- The global credit rating market is mainly dominated by three major agencies: **S & P Global Ratings, Moody's Investors Service, and Fitch Ratings**. Together, they control around 95% of the global credit rating industry.
- Other notable agencies include **DBRS (Canada), JCR (Japan), and Dagong (China)**.

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- **Credit Information Companies collect public data, credit transactions and payment histories of individuals and companies regarding loans and credit cards, among others.**
- **Banks, non-banking financial institutions refer to the CIC's report and score to decide borrowers' creditworthiness before granting a loan or issuing a credit card.**
- **CICs in India are licensed by the RBI and governed by the Credit Information Companies Regulation Act, 2005 (CICRA) and various other rules and regulations issued by the RBI.**
- **As per Section 15 of the CICRA, every Credit Institution (like banks) should be a member of at least one CIC.**
- **At present, four credit information companies are given certificates of registration by the RBI. These companies are Credit Information Bureau (India) Limited, Equifax Credit Information Services Private Limited, Experian Credit Information Company of India Private Limited and CRIF High Mark Credit Information Services Private Limited.**

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CIBIL India is part of TransUnion, an American multinational group. Hence, credit scores are known in India as the CIBIL Transunion score. It is a three-digit numeric summary of your credit history. The value of Credit Score may range between 300 to 900. The closer a CIBIL Score is to 900, the higher the chances of the consumer's credit card or loan application getting approved.

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Q. Consider the following statements:

1. In India, credit rating agencies are regulated by the Reserve Bank of India.
2. The rating agency popularly known as ICRA is a public limited company.
3. Brickwork Ratings is an Indian credit rating agency.

Which of the statements given above are correct?

- (a) 1 and 2 only
- (b) 2 and 3 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

Why India is enforcing a uniform time framework

Why India is enforcing a uniform time framework



ANAGHA JAYAKUMAR

THE UNION Consumer Affairs Ministry on August 27 notified new rules that make Indian Standard Time (IST) the legally enforceable reference for official and commercial use. The Legal Metrology (Indian Standard Time) Rules, 2026, require time-dependent systems in government and critical sectors to use a "traceable" and authorised IST reference within 180 days, rather than a random clock.

But India has already followed IST for decades. Why were the new rules needed and what changes with them?

People obtain time from many sources, often indirectly from GPS. A telecom provider provides the time maintained in its data centre, but there may be a lag of seconds or even minutes as people and organisations refer to different sources. "It is like each person establishing their own starting point; you then cannot properly compare events or measurements," said Poonam Arora, Head of the Time & Frequency Metrology Division at the Council of Scientific and Industrial Research-National Physical Laboratory (CSIR-NPL).

What do the new rules do?

India's Department of Legal Metrology enforces physical measurements in the country. Inspectors can check the gauges at a petrol pump or verify the weights used by an establishment. They did not have an equivalent capability for time — until now.

The new rules give time a legal status by calling for "traceability". In the context of these rules, traceability means showing that a clock or time source is ultimately linked to IST maintained by NPL — which will establish that it's accurate. Traceability can be established through different technologies, as we will explain further on, but with varying levels of precision.

The broader purpose of the new rules, is to make IST the country's common time reference for commercial and other purposes. "This can improve cybersecurity, reduce crime and make critical infrastructure more

• WHY ATOMIC CLOCKS ARE USED TO MEASURE TIME

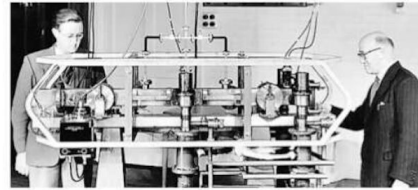
Every clock in the world needs an oscillator to keep time — be it a quartz crystal or a pendulum.

Quartz crystals vibrate at a precise frequency when voltage is applied to them. The vibrations of the crystal act like the pendulum of a grandfather clock, ticking off how much time has passed. But they can drift over time.

Even the best-performing quartz oscillators can be off by a nanosecond (one billionth of a second) after an hour. After six weeks, they may be off by a full millisecond (one thousandth of a second).

That would have a huge impact on, say, measuring the position of a fast-moving spacecraft.

This is where atomic clocks come in. As the name suggests, they effectively use atoms as oscillators.



The world's first caesium atomic clock, developed at UK National Physical Laboratory in 1955. WIKIMEDIA COMMONS

Though there are different types of atomic clocks, the following is the basic premise they operate on.

When electromagnetic radiation of a specific frequency is applied to an atom, it can cause the atom to switch between energy levels.

An electronic counter can keep track of these transitions, which happen at an extremely precise frequency.

Time can then be calculated by tracking this frequency. Countries across the world use advanced atomic clocks to measure time.

resilient," Arora told *The Indian Express*.

Who maintains time in the country?

The CSIR-NPL is mandated to maintain the country's scientific standards, such as mass and volume. Maintaining and "disseminating" IST is also part of its mandate.

A bank of extremely precise atomic clocks helps NPL maintain the country's time within a few nanoseconds of the international reference, Coordinated Universal Time. According to the NPL website, these clocks are so accurate that they would lose or gain one second in about three lakh years.

How is time 'disseminated'?

Dissemination of time essentially refers to the transmission of the standard time maintained by the NPL to external users and systems. There are different methods, with varying accuracy.

Your phone, for instance, shows you time indirectly derived from GPS.

The most common and accessible method — essentially how your computer shows you time — is a Network Time Protocol server. Network protocols synchronise the clocks of computers and devices over a network. The default server may be abroad,

Keeping track of time

A unified time source helps to coordinate systems across multiple sectors — from banks to telcos to defence.

Financial markets already operate under precise clock synchronisation requirements.

so it is not directly providing you the IST.

For more demanding applications, satellite links are used for highly precise time transfer. Given its importance, ISRO has to be traceable to the IST within nanoseconds.

Some Regional Reference Standards Laboratories (RRSL) now maintain secondary time scales traceable to IST, allowing the time standard to be disseminated from multiple locations, said Arora. In July 2026, the Union Consumer Affairs Ministry commissioned a White Rabbit Technology-based IST Dissemination Demonstration Network at the RRSL in Bengaluru. White Rabbit is an open-source networking technology designed to synchronise computer clocks over fibre-optic networks. Simply put, it sends a timing signal through a fibre-optic cable and measures how long the signal takes to reach another computer. Because that travel time can vary slightly, White Rabbit measures the delay and adjusts for it, allowing clocks in different locations to stay synchronised.

Who needs precise synchronisation?

Systems across multiple organisations — banks, telecommunications, power grids and even defence systems — need to coordinate. A unified time source helps es-

tablish the sequence of events, coordinate activities across locations and reconstruct failures, transactions or cyber incidents.

"At the very least, an organisation should be able to show that its systems are synchronised with IST," Arora said.

The requirement is not only about display. There must also be synchronisation, so that the seconds start at the same time across applications and sectors. Financial markets already operate under precise clock-synchronisation requirements. Since 2013, SEBI has directed stock exchanges to synchronise their system clocks with atomic clocks before the start of the market so that their clocks have precision of at least one microsecond and accuracy of at least +/- one millisecond.

This precision matters because financial systems can generate and process orders in fractions of a second. Accurate timestamps help establish the sequence in which orders and trades happened and can be important when regulators investigate unusual activity or disputes.

What changes for you?

Very little changes for the ordinary user. Arora noted that such changes would travel downstream as service providers comply with the rules, meaning the time supplied automatically to your device would be traceable to IST. "Unless you have a business, you are unlikely to face any immediate requirement. But accurate time can matter if investigators or a court need to reconstruct events, for example in a fraud investigation," Arora said.

Why is India now pushing for domestic timing infrastructure?

The push for IST uniformity comes along with India's efforts to reduce reliance on external satellite navigation systems and their timing signals. Arora noted that most people currently obtain time through GPS, which the US owns and controls. A decision by the US to degrade or deny access to its services, as it did to India during the Kargil War, could pose a problem. That episode pushed India to build the Indian Regional Navigation Satellite System or NavIC, providing regional satellite-navigation coverage over India. Alongside this, terrestrial systems such as White Rabbit can distribute IST over fibre-optic networks. Together, these give India more than one domestic route to provide precise time to critical infrastructure.

Why India is enforcing a uniform time framework

GMT (Greenwich Mean Time) is the historical reference time measured at Greenwich, London, located at 0° longitude. It is based on the mean (average) solar time, meaning the apparent movement of the Sun is averaged to create a uniform measure of time. Since the Earth rotates 360° in about 24 hours, every 15° of longitude corresponds roughly to 1 hour of time difference from Greenwich. Thus, GMT historically served as the reference point for calculating the time of different places around the world.

UTC (Coordinated Universal Time) is the modern international standard of time, primarily based on extremely precise atomic clocks, while being kept closely related to Earth's rotation.

Why India is enforcing a uniform time framework

	GMT	UTC
Based on	Earth's Rotation	Atomic Clocks and Earth's Rotation
Precision	Less precise	Highly Precise

Why India is enforcing a uniform time framework

Indian Standard Time (IST)

Longitudinal Basis: IST is calculated on the basis of the 82.5° E longitude (Standard Meridian).

The 82.5° E meridian passes through five Indian states: Uttar Pradesh, Madhya Pradesh, Chhattisgarh, Odisha, and Andhra Pradesh.

Global Offset: IST is exactly 5 hours and 30 minutes ahead of Coordinated Universal Time (UTC +5:30).

The Official Timekeeper: The CSIR-National Physical Laboratory (NPL) in New Delhi is the custodian of IST. It maintains the national time standard using a bank of highly precise Cesium and Rubidium atomic clocks, which are synchronised with the International Bureau of Weights and Measures (BIPM) in France.

Why India is enforcing a uniform time framework

The Department of Consumer Affairs has notified the Legal Metrology (Indian Standard Time) Rules, 2026, establishing Indian Standard Time (IST) as the mandatory, single time reference for all legal, administrative, commercial, and official purposes across India

The rules were notified under Section 52 of the Legal Metrology Act, 2009, giving legal and administrative significance to a uniform national time standard.

Precise IST will be disseminated through domestic infrastructure backed by CSIR-National Physical Laboratory (CSIR-NPL) and Legal Metrology laboratories.

It uses White Rabbit Technology (WRT), commissioned at the Regional Reference Standard Laboratory (RRSL), Bengaluru, to achieve sub-nanosecond-level time synchronisation across institutions such as ISRO, SEBI, NSE and BSNL.

Thank You